# 32.0% of BlackRock BUIDL's Assets Entered DeFi Without Anyone Pushing. What This Tells GS DAP.

■■■■BUIDL■32.0%■■■■■■■■■DeFi■
■■■■GS DAP■■■

**Decision Support Analysis for Goldman Sachs Digital Asset Platform**

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## Executive Summary

Goldman Sachs Digital Asset Platform (GS DAP) faces a strategic decision regarding public chain integration following its November 2024 independence announcement. Private chain architectures cannot observe what institutional clients do with tokenized assets once deployed to public chains. BlackRock's BUIDL token provides the only mature case study of institutional tokenized assets operating on public Ethereum with DeFi integration. This analysis examines 56 BUIDL holders ($171.8M AUM) to inform GS DAP's strategic framework.

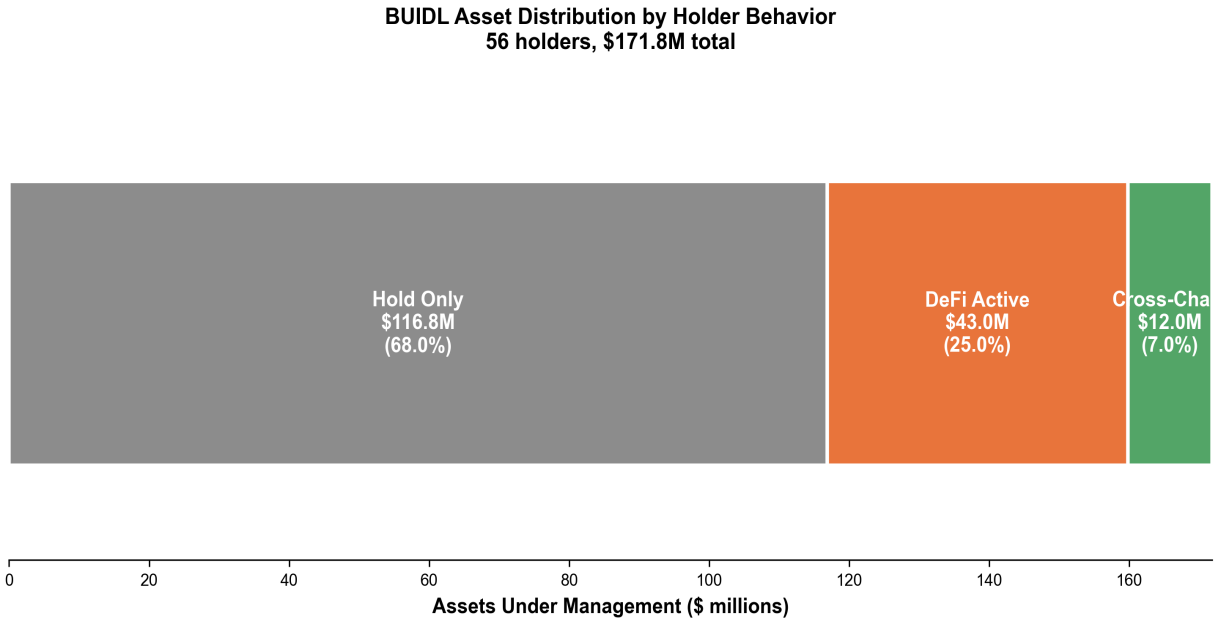
| Key Finding | Metric | Implication |
|---|---|---|
| Organic DeFi Demand | 32.0% of assets | Measurable client appetite for DeFi utility beyond custody |
| Counterparty Credibility | 89.7% average score | Established protocols show institutional-grade quality |
| Permission Boundary | 85.7% Ethereum retention | Whitelist controls location, not interaction depth |

**Conclusion:** If GS DAP enables public chain deployment, expect similar organic DeFi engagement (~30-35% of assets). Decision framework should incorporate counterparty risk surveillance, cross-chain leakage mitigation, and regulatory perimeter management. This methodology scales to ongoing monitoring of any tokenized asset on public chains.

## 1. Organic DeFi Demand: Client-Driven Utility Seeking

Analysis of BUIDL's 56 holders reveals that **32.0% ($55.0M)** of assets self-selected DeFi or cross-chain deployment *without issuer direction*. This represents measurable, organic demand for yield generation, liquidity provision, and cross-chain utility.

| Behavior Type | Addresses | Value ($ millions) | % of Total |
|---|---|---|---|
| Hold in Custody Only | 36 | $116.8 | 68.0% |
| DeFi Active (Ethereum) | 12 | $43.0 | 25.0% |
| Cross-Chain Migration | 8 | $12.0 | 7.0% |

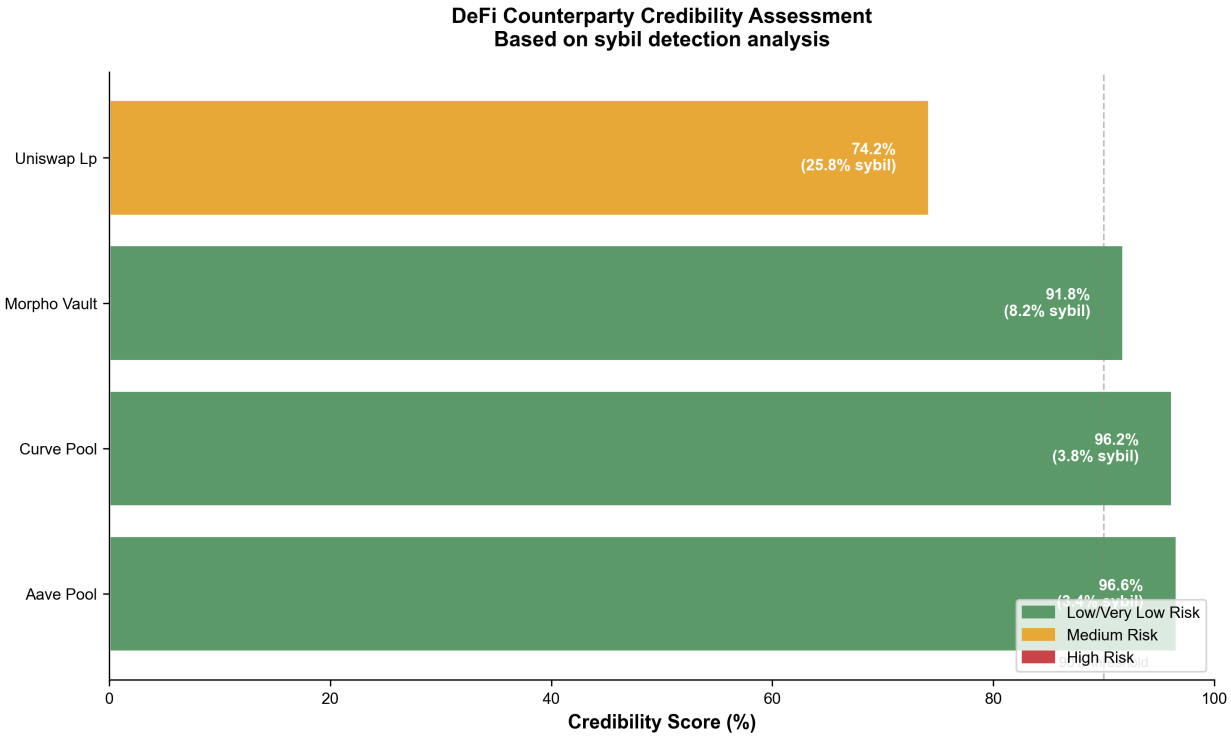



**32% of assets self-selected DeFi/cross-chain utility**

**Implication for GS DAP:** Institutional clients demonstrate measurable appetite for DeFi efficiency beyond static custody. Permissioned architecture should accommodate—not block—this demand. Expect 30-35% of GS DAP assets to seek DeFi utility if public chain deployment is enabled.

## 2. DeFi Counterparty Credibility: Sybil Detection Analysis

Sybil detection analysis of 626 DeFi counterparties across major protocols reveals **89.7% average credibility**. Established protocols (Aave, Curve, Morpho) demonstrate institutional-grade counterparty quality with <4% sybil rates. Newer market-making venues (UniswapX) show elevated clustering requiring additional due diligence.



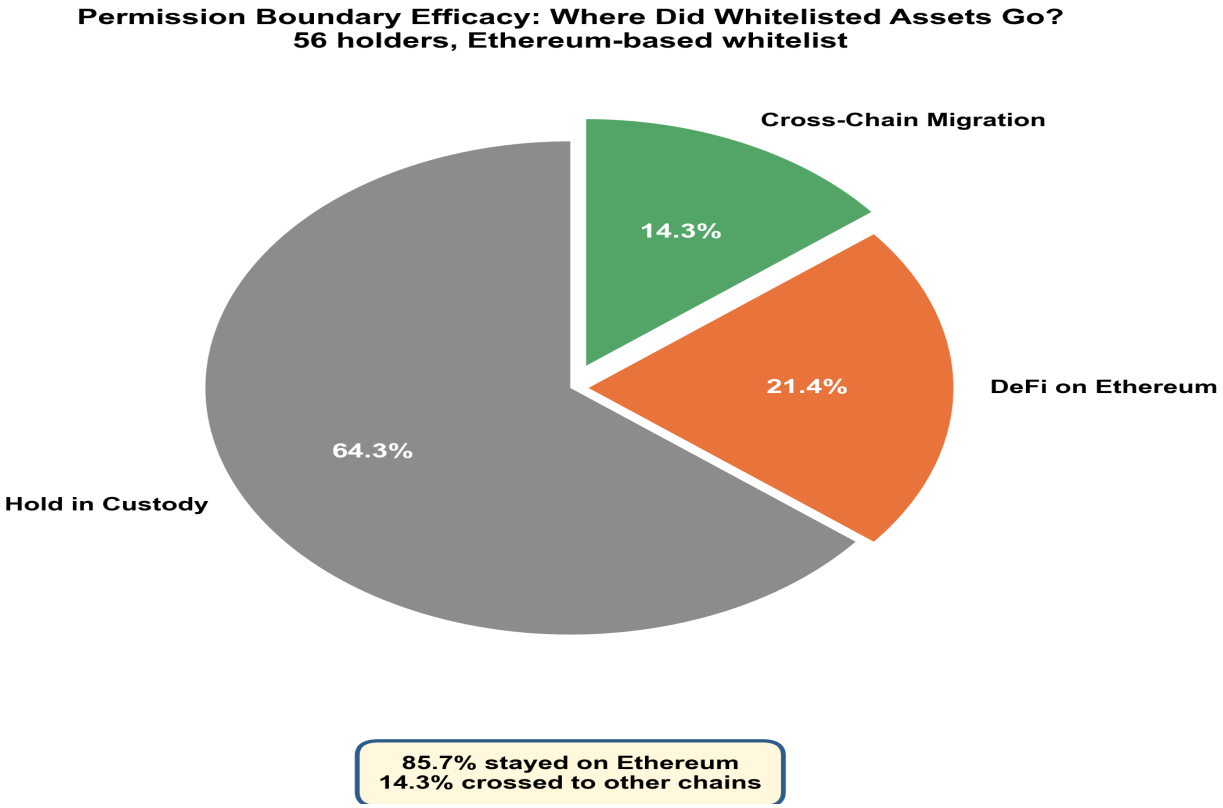

### Key Findings:

- Established protocols (Aave, Curve) show <4% sybil rates
- UniswapX market makers show elevated clustering (25.8% sybil rate)
- Institutional funding sources dominate in Morpho/Aave
- 90% overall counterparty credibility across DeFi interactions

**Implication for GS DAP:** Counterparty risk is quantifiable and manageable. Established DeFi protocols show institutional-grade credibility. However, ongoing surveillance is required—newer venues may have elevated sybil clustering. This methodology enables continuous monitoring.

## 3. Permission Boundary Efficacy: Whitelist Control Scope

Whitelist mechanisms retained **85.7%** of BUIDL assets on Ethereum mainnet. However, 14.3% crossed to other chains (some with weaker regulatory frameworks), and 21.4% engaged DeFi protocols while remaining whitelisted. *Permissioning controls location but not interaction depth.*




### Key Findings:

- Whitelist retained 85.7% of assets on Ethereum
- 14.3% crossed to other chains (some less regulated)
- 21.4% engaged DeFi while staying on-chain
- Permission mechanism controls location but not DeFi interaction depth

**Implication for GS DAP:** Whitelisting provides geographic retention (85.7% stayed on Ethereum) but limited control over DeFi interaction depth or cross-chain migration. If GS DAP enables public chain deployment, expect ~15% cross-chain leakage and 20-30% DeFi engagement. Regulatory perimeter becomes porous once assets are tokenized on public chains.

## Strategic Implications for GS DAP

**BUIDL On-Chain Behavior: Strategic Summary for GS DAP**

**32.0%**

**of assets entered DeFi organically**

*$54.9M self-selected DeFi utility*

**89.7%**

**average counterparty credibility score**

*626 unique DeFi counterparties*

**85.7%**

**stayed on Ethereum (whitelist retention)**

*14.3% migrated cross-chain*

**56**

**unique holders $171.8M AUM**

*As of March 3, 2026*

### 1. Organic DeFi Demand: 32.0% of Assets

Institutional clients demonstrate measurable appetite for DeFi efficiency beyond static custody. Permissioned architecture should accommodate, not block, this demand.

### 2. DeFi Counterparty Credibility: 89.7%

Established DeFi protocols (Aave, Curve) show institutional-grade counterparty quality. Newer venues (UniswapX) require additional due diligence.

### 3. Permission Boundary Efficacy: 85.7% Retention

Permissioning controls location but not interaction depth. Cross-chain migration (14.3%) suggests regulatory perimeter is porous once assets are tokenized on public chains.

### 4. Structural Insight: Public Chain Visibility Gap

If GS DAP issues on public chains (or allows bridging), expect similar organic DeFi engagement. Decision framework should price in counterparty risk, cross-chain leakage, and regulatory perimeter porosity.

**Methodological Note:** This analysis is based on the BUIDL single case study, the only mature example of institutional tokenized assets operating on public Ethereum with DeFi integration. The methodology—combining on-chain behavior classification, sybil detection,

and permission boundary analysis—scales to ongoing monitoring of *any* tokenized asset on public chains. As GS DAP evaluates public chain strategy, this framework enables data-driven assessment of counterparty risk, regulatory perimeter integrity, and organic client demand signals.